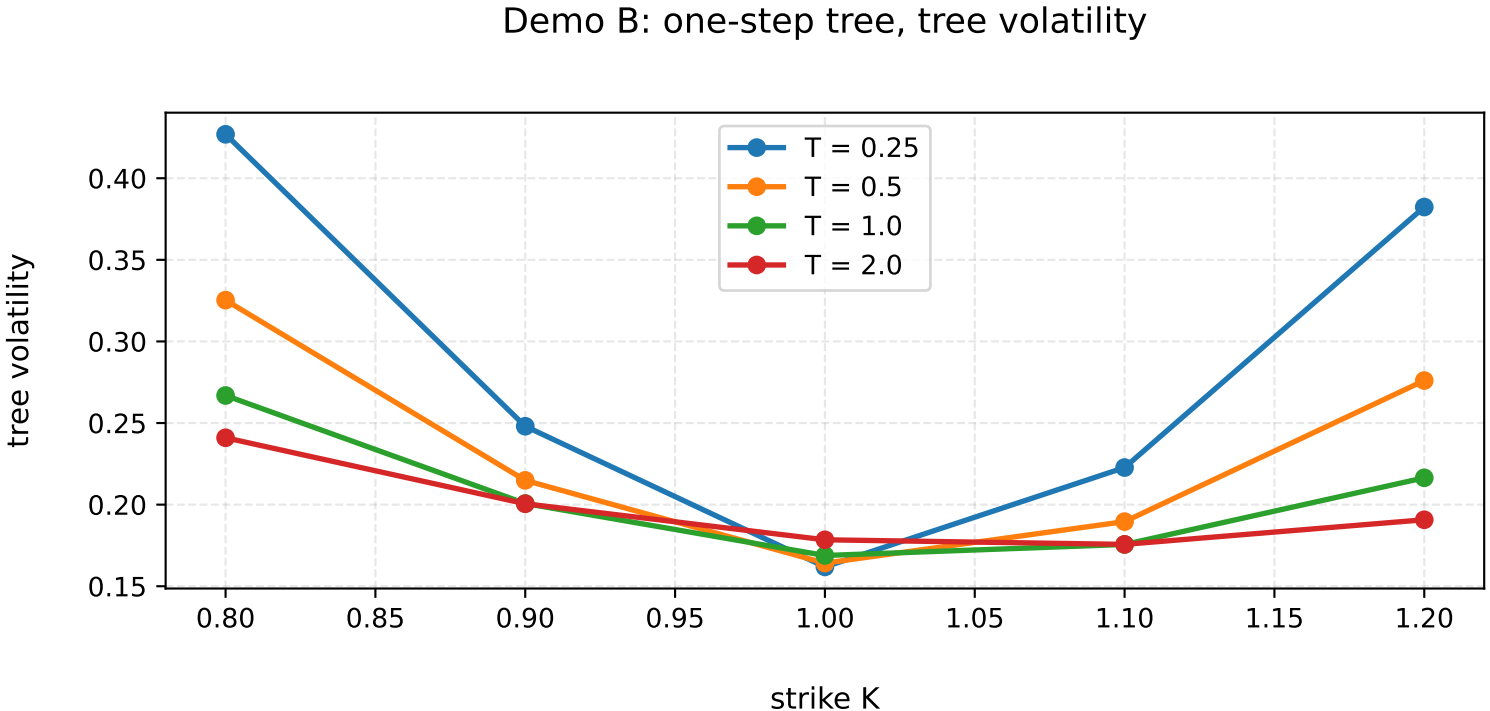
Demo B: one-step tree, tree volatility
T = 0.25
T = 0.5
T = 1.0
T = 2.0
tree volatility
0.40
0.35
0.30
0.25
0.20
0.15
0.80
0.85
0.90
0.95
1.00
1.05
1.10
1.15
1.20
strike K